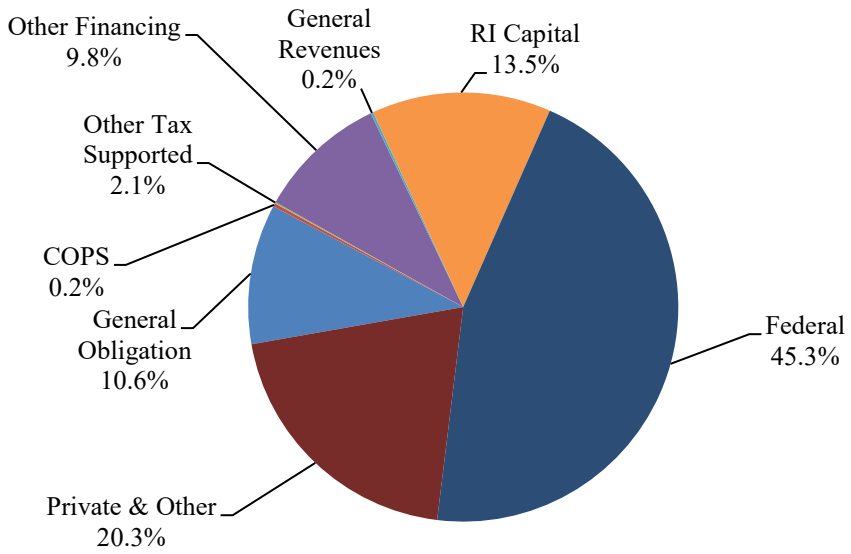
Capital Budget

Summary

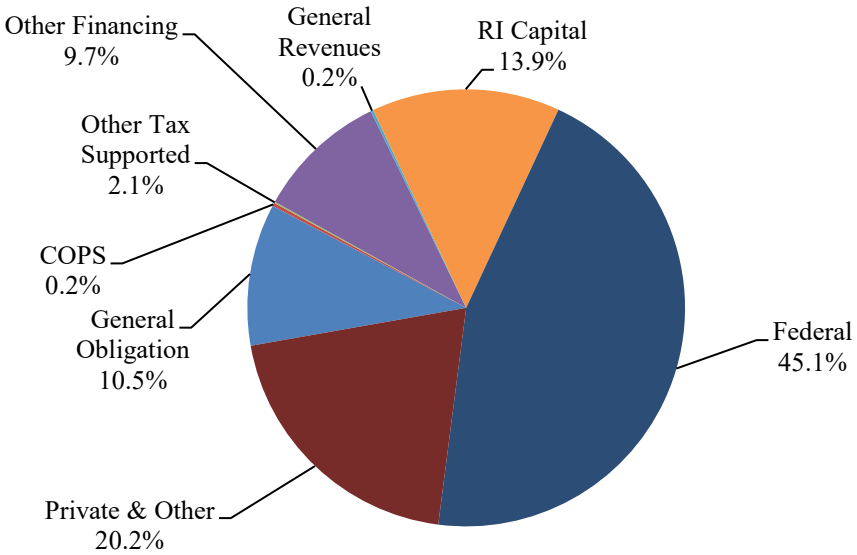
The Governor's five-year capital recommendations for FY 2027 through FY 2031 call for total outlays of $9,342.7 million. Financing the plan requires $1,934.2 million of debt issuances and $7,408.5 million from current revenue streams.

Governor FY 2027 - FY 2031
Capital Projects Funding



The Assembly's five-year adopted plan includes capital outlays of $9,390.2 million for the period. Financing the plan requires $1,934.2 million of debt issuances and $7,456.0 million from current revenue streams.

Assembly FY 2027 - FY 2031
Capital Projects Funding



- ***Outlays and Funding.*** The FY 2027 through FY 2031 plan includes $9,390.2 million of outlays on $20,624.0 million of project estimates. Average outlays would be $1,878.0 million per year for the five-year period, with $675.6 million required at the end of the period to complete the projects.

- ***General Obligation Bonds Referenda.*** Financing the five-year plan is based on $986.3 million of general obligation bond debt issuances. This includes $600.0 million from new general obligation bonds to be put before voters in November 2026. It includes $275.0 million for higher education, $120.0 million for housing and home ownership, $100.0 million for economic development, $45.0 million for a new state history center, and $60.0 million for environment and other projects. The average bond referendum over the past five elections was $347.7 million, including $345.5 million approved by voters in November 2024. The proposed 2026 bond is approximately 75 percent more than 2024.

- ***Other Debt Approvals.*** The plan includes $55.0 million approved by the 2026 Assembly under the Public Corporation Debt Management Act. This includes $20.6 million for Rhode Island College residential life renovations, $20.0 million for University of Rhode Island repaving and hardscape improvements, and $14.4 million for the University's automotive and administrative services project.

- ***Financing.*** Paying for the five-year outlays includes $1,934.2 million from debt financing and $7,456.0 million from current or pay-go sources. Pay-go accounts for 79.4 percent, with debt funding accounting for 20.6 percent.

- ***Debt Levels.*** Total net tax-supported debt increases during the period through FY 2031 by $341.4 million from $2,041.7 million to $2,383.1 million. Past practice indicates that debt levels will likely change as more projects are added within the five-year period of this capital budget.

- ***Debt Ratios.*** Net tax-supported debt would decrease from 2.3 percent of personal income reported for FY 2025 to 2.1 percent in FY 2028, assuming that the capital budget is not increased. However, as with debt levels, past practice indicates it is likely to change with new projects and revised economic data.

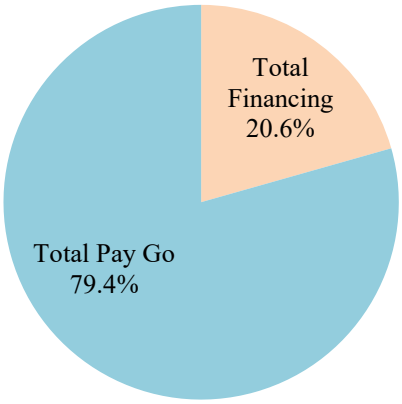
- ***Rhode Island Capital Plan Fund.*** The plan relies heavily on Rhode Island Capital Plan funds, an important source of pay-go funds designed to reduce the need for borrowing. Total outlays for the five-year period are $1,307.0 million.

Outlays and Funding

To support the maintenance, repair, and construction of infrastructure throughout Rhode Island, the state has used both funding and financing. Funding can be considered as "pay-go", which means that annual budgets include sufficient appropriations for projects to continue on schedule, without incurring long-term debt. For Rhode Island, this is accomplished primarily through the Rhode Island Capital Plan Fund, which is described in greater detail elsewhere in this report.

The advantage of this approach is that it does not limit future resources by incurring long-term debt service payments; however, it does limit the extent of what can be accomplished to currently available sources. Because of this, short-term projects for relatively small amounts of money, such as asset protection projects, are better suited to pay-go funding, while long-term, large-scale infrastructure projects, such as the relocation of Interstate 195, are better suited to financing.

FY 2027 - FY 2031 Outlays



Financing capital projects includes borrowing, usually in the form of long-term debt such as general obligation or revenue bonds. General obligation bonds are backed by the full faith and credit of the state and have annual debt service appropriated from general revenues. This type of borrowing is more closely tied to state agencies, and the authorizations for this debt appear on election-year ballots as referenda.

Revenue bonds are not backed by the full faith and credit of the state, and debt service is paid from a defined revenue stream, such as a user fee. This type of debt has historically been used by quasi-state agencies to fund long-term infrastructure projects. For example, the Turnpike and Bridge Authority uses toll revenue to fund maintenance of the four major bridges under its jurisdiction, including the Mount Hope, Newport Pell, Sakonnet, and Jamestown Bridges. Compared to pay-go funding, financing does not require large up-front investments to complete large projects; however, by the time the financing is complete, issuance and interest costs can significantly add to a project's total cost and may also require payments long after a facility has been constructed.

The total five-year outlays of $9,390.2 million are supported by a mix of pay-as-you-go funding and financing. Over two-thirds, 79.4 percent, of outlays are supported by current revenues, or pay-go, with the remaining 20.6 percent from financing.

Pay-Go. The pay-go sources include $4,235.9 million from federal sources, $1,307.0 million from Rhode Island Capital Plan funds, and $1,913.0 million from private and other sources. Federal sources are the largest source of capital funding, providing 45.1 percent of all funding and 56.8 percent of pay-go funding.

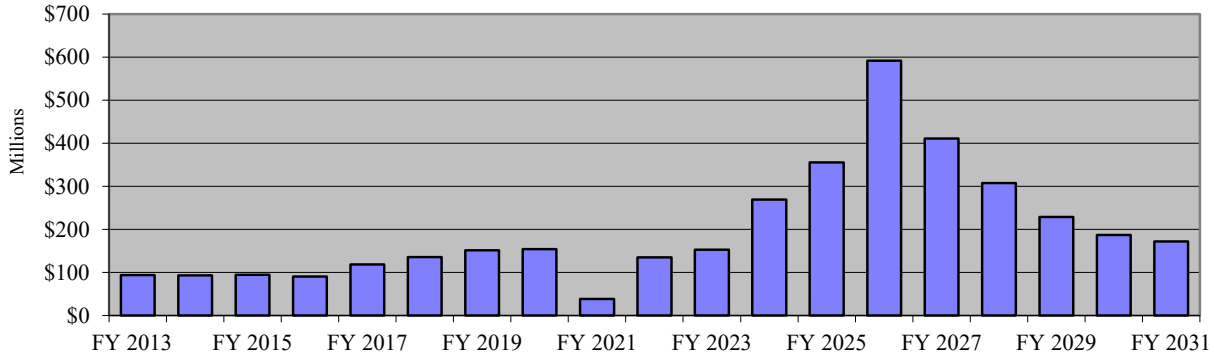
A primary source of state pay-go funding is the Rhode Island Capital Plan Fund. These revenues are derived from the amounts exceeding 5.0 percent of revenues in the state's Budget Stabilization and Cash Reserve Account, or "rainy day fund." The rainy day fund receives 3.0 percent of all revenues and opening surpluses capped at 5.0 percent. Resources above the cap are transferred to the Rhode Island Capital Plan Fund. Use of the rainy day fund to balance the FY 2020 budget interrupted the normal flow of resources into the Rhode Island Capital Plan Fund, creating a temporary resource shortfall pending payback of the $120 million, which occurred in FY 2021.

The fund was used nearly exclusively for debt service in the early 1990s. Governor Almond began moving debt service back to general revenues as the economy improved in the latter half of that decade, reserving the capital fund for pay-go capital projects so as not to use any for debt service by FY 2002. However, the economic slowdown caused that to reverse beginning in FY 2002, with significant amounts again used for debt service. The 2006 Assembly noted this trend and submitted a constitutional amendment to limit the

fund's use to capital projects beginning in FY 2008, which voters approved, along with an increase from 3.0 percent to 5.0 percent.

Upon implementation of the constitutional change, resources in the Rhode Island Capital Plan Fund grew and began fulfilling the purpose of reducing borrowing needs. An example of this is the significant annual amount that has been used in lieu of borrowing to match federal transportation funds. In addition to the transportation uses, another primary use of the fund is for asset protection and other projects at the state's public higher education institutions. These account for about one-third of the fund's use. The remaining half is used for asset protection and improvements for state buildings, including courts, prisons, hospitals, and other state facilities such as dams, piers, parks, and office buildings. Many of these ongoing investments are designed to extend the life of the facilities and prevent costly replacements.

Use of Rhode Island Capital Fund



More recently, the state made major deposits to the fund from non-recurring surpluses, some of which are serving as state match for significant new federal infrastructure funds. The Assembly transferred $820.4 million from one-time general revenues to the Rhode Island Capital Plan Fund in FY 2022 and FY 2023. This is shown in the table below. That funding explains some of the unusually high spending levels in the above graph.

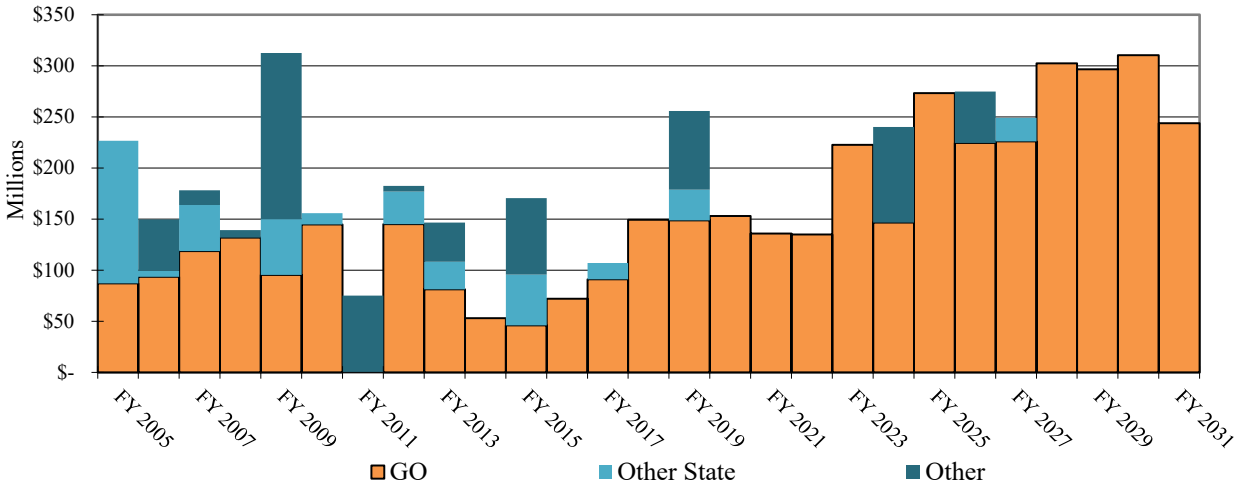
Transfers to RICF	FY 2022	FY 2023	Total
2022 Assembly	$ 563.0	$ 15.0	$ 578.0
2023 Assembly	-	242.4	242.4
Total	**$ 563.0**	**$ 257.4**	**$ 820.4**

$ in millions

Debt Financing. Proceeds from financing, $1,934.2 million, constitute 20.6 percent of the funds available for outlays during the period. Tax-supported financing comprises $1,018.7 million, including $986.3 million from general obligation bonds and $23.3 million through Certificates of Participation. Outlays from tax-supported financing are 52.7 percent of the financed outlays and 10.8 percent of all outlays. Other non-tax-supported financing supports $915.5 million in outlays, or 9.7 percent.

The term net tax-supported debt refers to all debt for which an appropriation is or may be required. That includes not only general obligation bonds and direct state issuance, but also debt issued by other entities for which the state is pledged to an annual lease payment or to make an appropriation in the event of a default. Debt that is an obligation of the state for which a non-state entity makes the debt service payments is not generally considered as net tax-supported debt. An example is the bonds issued for the Narragansett Bay Commission, for which the Commission pays the debt service from user charges.

Debt Issues



Debt issued by the Colleges and University through the Rhode Island Health and Educational Building Corporation is also not included. The five-year budget includes expenditures of $366.1 million from these bonds. It should be noted that the total charges to students are used in tuition and fee comparisons with other institutions. Any tuition and fees used for debt service are not available for general operating expenses. This provides the context for general revenue requests from higher education institutions. Further, in the event of insufficient University and College revenues, it is likely that the state would intervene with appropriations rather than allow bondholders to take over assets financed.

Unrestricted Debt Service				
	URI	RIC	CCRI	Total
FY 2018	$ 27,655,388	7,661,625	2,887,674	$ 38,204,687
FY 2019	$ 34,790,206	7,908,810	2,707,744	$ 45,406,760
FY 2020	$ 41,047,284	7,847,645	2,703,067	$ 51,597,996
FY 2021	$ 39,593,709	7,231,339	2,605,366	$ 49,430,414
FY 2022	$ 36,648,450	10,007,040	1,439,411	$ 48,094,901
FY 2023	$ 35,808,035	8,259,682	1,757,446	$ 45,825,163
FY 2024	$ 39,299,914	10,226,737	1,269,169	$ 50,795,820
FY 2025	$ 39,030,721	9,714,403	1,054,710	$ 49,799,834
FY 2026 Final	$ 41,788,249	10,208,660	1,092,138	$ 53,089,047
FY 2027 Enacted	$ 42,027,707	10,661,013	934,564	$ 53,623,284

The table above shows debt service for Higher Education, funded from general revenues and tuition and fees from FY 2018 through the FY 2027 enacted budget. General obligation debt is funded solely from general revenues. For debt issued for projects funded through the Rhode Island Health and Educational Building Corporation, debt service is paid from both general revenues and tuition and fees.

As the table shows, debt service costs would increase by over 40 percent between FY 2018 and FY 2027. Most of this reflects increases for the University for both general obligation bond debt service and debt service on revenue bonds supported by both general revenues and tuition and fees for utility infrastructure upgrades, repaving, hardscape, and landscape. The table does not show restricted debt issued for projects for auxiliary or enterprise activities, such as dorms or dining halls; student fees paid for those specific activities support the debt service on those projects.

New Debt Authorizations

The Budget includes $655.0 million of new debt authority that requires approval by the General Assembly. Of this amount, $600.0 million is from general obligation bonds that would be placed on the November 2026 ballot for voter approval, and $55.0 million requires approval by the Assembly under the Public Debt Management Act.

The table below shows the $655.0 million of new debt authority requiring action by the 2026 General Assembly. It is followed by descriptions of the projects that would be funded by the new debt. A detailed description of the projects is included in the Capital Budget section of this publication.

New Debt Authority		Amount	Legislation
November 2026 Bond Referenda			
Question 1	**$**	**275,000,000**	
URI Integrated Health Building		165,000,000	Article 5
RIC Adams Library		50,000,000	Article 5
CCRI Workforce Innovation Center		60,000,000	Article 5
Question 2			
Housing and Homeownership	**$**	**120,000,000**	Article 5
Question 3	**$**	**100,000,000**	
Site Development		55,000,000	Article 5
Growth Industry Infrastructure		45,000,000	Article 5
Question 4	**$**	**50,000,000**	
State History Center		45,000,000	Article 5
State Preservation Grants Program		5,000,000	Article 5
Question 5	**$**	**55,000,000**	
Brownfields Remediation & Economic Development		3,000,000	Article 5
Facility Improvements		12,000,000	Article 5
Local Recreation Projects		1,000,000	Article 5
Marine Infrastructure Development		1,000,000	Article 5
Resilient Rhody Infrastructure Fund		25,000,000	Article 5
Narragansett Bay Watershed Restoration		7,000,000	Article 5
Agriculture Land Preservation Commission		3,000,000	Article 5
Open Space		3,000,000	Article 5
Total New Referenda	**$**	**600,000,000**	
Other Debt Instruments			
Revenue Bonds			
Rhode Island College			
Residential Life Renovations	$	20,600,000	Article 4
University of Rhode Island			
Repaving and Hardscape Improvements		20,000,000	Article 4
Automotive and Administrative Services		14,400,000	Article 4
Total Other Debt	**$**	**55,000,000**	
Total New Debt Authorization	**$**	**655,000,000**	

The Public Debt Management Act requires that all new debt authorizations be approved by the Assembly unless the Governor certifies that federal funds will be available to make all of the payments which the state is or could be obligated to make under the financing lease or guarantee; or the General Assembly has adjourned for the year with the expectation that it will not meet again until the following year and the Governor certifies that action is necessary, because of events occurring after adjournment, to protect the physical integrity of an essential public facility, to ensure the continued delivery of essential public services,

or to maintain the credit worthiness of the state in the financial markets. Select quasi-public agencies are exempt. The 2009 Assembly rescinded the exception previously granted to the Rhode Island Resource Recovery Corporation.

General Obligation Bond Referenda. The Capital Budget includes $600.0 million in new referenda to be presented to the voters in November 2026. Section 35-3-7.1 of the Rhode Island General Laws provides that bond referenda only be presented during election years, absent special circumstances. Debt service on these bonds is paid from state general revenues. Assuming a 5.0 percent interest rate and a 20-year amortization, annual debt service is estimated at $49.6 million. The individual projects are described in greater detail below, with additional information in the individual agency Capital Budget analyses.

URI Integrated Health Building. Question 1 includes $165.0 million to build a facility to advance health education, clinical training, and workforce development on the Kingston Campus. This project will expand White Hall, the College of Nursing's current building, into an integrated health building. The current College of Nursing building's infrastructure is at or near its limits, thereby constraining the University's ability to meet increasing workforce demands. The building expansion will include advanced simulation and skills labs, collaborative learning environments, faculty offices, and expanded classroom space.

RIC Adams Library. Question 1 includes $50.0 million to build a student success and career readiness center in Adams Library. The goal of the project is to enhance services and programming for advising, tutoring, career services, studying, and student engagement to improve student outcomes, increase retention, and provide employment assistance.

CCRI Workforce Innovation Center. Question 1 includes $60.0 million to build a workforce innovation center on the Warwick Campus. The new Workforce Innovation Center will be built on an unused land island located on the campus's main parking lot and serve as a regional hub for career and technical education, designed to address critical workforce shortages, support local industry, and provide high-quality, hands-on training in high-demand sectors, such as healthcare, advanced manufacturing, information technology, construction trades, and renewable energy.

Housing and Homeownership. Question 2 includes $120.0 million to increase housing availability through development, infrastructure, redevelopment, property acquisition, and homeownership programs. Of these funds, at least $25.0 million must support the production of homeownership units, and up to $10.0 million may be used to support a program for public housing development.

Site Development. Question 3 includes $55.0 million to support large-scale industrial development, such as within the Quonset Development Corporation, and land acquisition and project investments, such as within the I-195 District. These funds are intended to supplement an existing allocation of $40.0 million from general obligation bonds approved by voters in March 2021, which have capitalized initiatives such as RI Ready to support offshore wind and industrial site development, reshoring jobs, and economic revitalization.

Growth Industry Infrastructure. Question 3 includes $45.0 million to finance infrastructure, facilities, projects, and investments within Rhode Island's ocean, defense, life sciences, data analytics, and related industries. This funding may support projects such as water-based test ranges, onshore ocean or defense-related facilities, or facilities and investments to advance business and job growth in the life sciences.

State History Center. Question 4 includes $45.0 million to develop a new State History Center facility on Capitol Hill in Providence to permanently display the state's founding documents and to provide space for rotating exhibits and for events, functions, and programming. The capital budget also includes $4.5 million from Rhode Island Capital Plan funds programmed for FY 2028, bringing the total project cost to $49.5 million over the five-year period.

State Preservation Grants Program. Question 4 includes $5.0 million to be administered by the Rhode Island Historical Preservation and Heritage Commission as matching grants to municipalities and nonprofits for the preservation and renovation of historic sites open to the public. Grants are used for projects that enhance public safety, remedy building code deficiencies, and address the continued viability of critical historical structures open to the public. The remaining $0.3 million from the 2020 bond will be expended during FY 2026. Funding is programmed for FY 2027 through FY 2029, with $1.7 million annually.

Brownfields Remediation and Economic Development. Question 5 includes $3.0 million to provide up to 80.0 percent matching grants to public, private, and non-profit entities for brownfield remediation projects. The capital budget also includes $23.0 million from general obligation bonds approved in five previous referenda for a total project cost of $26.0 million.

Facility Improvements. Question 5 includes $12.0 million for renovating and repairing existing facilities and recreational venues, as well as for developing and constructing new facilities and parks. The capital budget also includes $9.0 million from federal funds, $33.0 million from general obligation bonds approved on the 2020 ballot, and $50.8 million from Rhode Island Capital Plan funds for a total project cost of $104.7 million.

Local Recreation Projects. Question 5 includes $1.0 million to provide up to 80.0 percent matching grants to municipalities for the acquisition, development, or rehabilitation of local public recreational facilities in Rhode Island. The capital budget also includes $21.0 million from general obligation bonds approved in five previous referenda for a total project cost of $22.0 million.

Marine Infrastructure Development. Question 5 includes $1.0 million to provide asset protection and emergency repair needs for most facilities, including recreational facilities, office space, and marine infrastructure. The capital budget also includes $0.8 million from federal funds and a new allocation of $2.0 million from Rhode Island Capital Plan funds from FY 2027 through FY 2030.

Resilient Rhody Infrastructure Fund. Question 5 includes $25.0 million to capitalize the Resilient Rhody Infrastructure Fund, established by the 2025 Assembly to provide municipalities with technical, administrative, and financial assistance for resiliency and stormwater abatement projects. These funds may be used to assist local government units in improving infrastructure resiliency and vulnerable coastal habitats, as well as restoring river and stream floodplains.

Narragansett Bay Watershed Restoration. Question 5 includes $7.0 million to restore and protect the water quality and enhance the economic viability and environmental sustainability of Narragansett Bay and the state's watersheds. Eligible activities include nonpoint source pollution abatement, such as stormwater management; nutrient loading abatement; commercial, industrial, and agricultural pollution abatement; and riparian buffer and watershed ecosystem restoration. The capital budget also includes the remaining $1.2 million from general obligation bonds approved in three previous referenda.

Agriculture Land Preservation Commission. Question 5 includes $3.0 million for farmland acquisition and protection through the Agricultural Land Preservation Commission. The capital budget also includes $14.5 million from general obligation bonds approved in four previous referenda.

Open Space. Question 5 includes $3.0 million from new general obligation bonds for the state to acquire open space, watershed, and recreational lands. The capital budget also includes $35.0 million from general obligation bonds approved in four previous referenda.

Public Corporation Debt Management Act Debt Issues. The adopted plan includes $55.0 million in new debt authorization that does not require voter approval but does require Assembly approval pursuant to the Public Corporation Debt Management Act. The projects are described below.

RIC Residential Life Renovations. The Budget includes authorization of a $20.6 million revenue bond to renovate five residence halls. The project will address infrastructure and improve student safety and comfort. Current residential halls were built between 18 and 66 years ago. Although some renovations may occur during the academic year, the College does not plan to lower occupancy or close buildings. Debt service will be paid through student housing fees.

URI Repaving and Hardscape Improvements. The Budget includes authorization of a $20.0 million revenue bond for the fifth phase of the University's efforts to repave and reconstruct major parking facilities, internal roadways, and walkways on the Kingston, Narragansett, and Alton Jones campuses. The University has completed a full evaluation of all paved surfaces on the three campuses, and work will mostly occur in the summers of 2027 through 2029. Debt service will be supported by the University's unrestricted budget and parking fees.

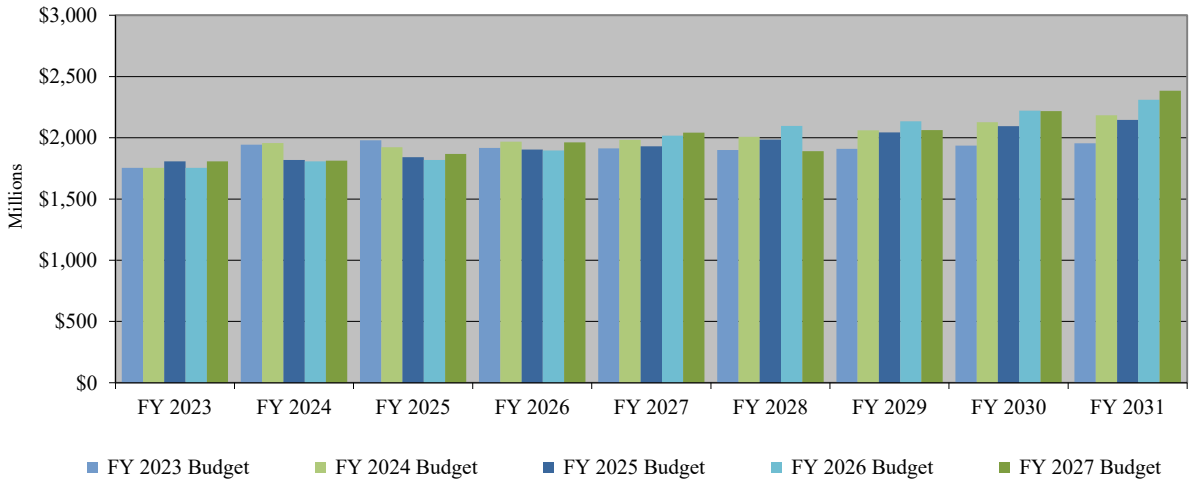
URI Automotive and Administrative Services. The Budget includes authorization of a $14.4 million revenue bond to build an addition to the central warehouse for mail and printing services and to replace the automotive repair building, currently housed in a former barn. In 2023, the University engaged a planning team that targeted the existing mail and printing services building as the best site for the new automotive building. Moving the mail and printing services will enable efficient use of space and facilitate potential cross-training. Debt service will be supported by the University's unrestricted budget.

Debt Levels

Total net tax-supported debt increases during the period through FY 2031 by $341.4 million from $2,041.7 million to $2,383.1 million. Net tax-supported debt had dropped to $1,280.9 million in FY 2003 after the state used $247.6 million of special revenue bonds backed by the state's tobacco master settlement agreement to defease general obligation bond debt in FY 2002.

Past practice indicates that this will be significantly higher as more projects are added within the five-year period of this capital budget. The average bond referenda over the past five elections were $347.7 million, including the $400.0 million approved by the voters in March 2021 and November 2022 and $343.5 million approved by the voters in November 2024.

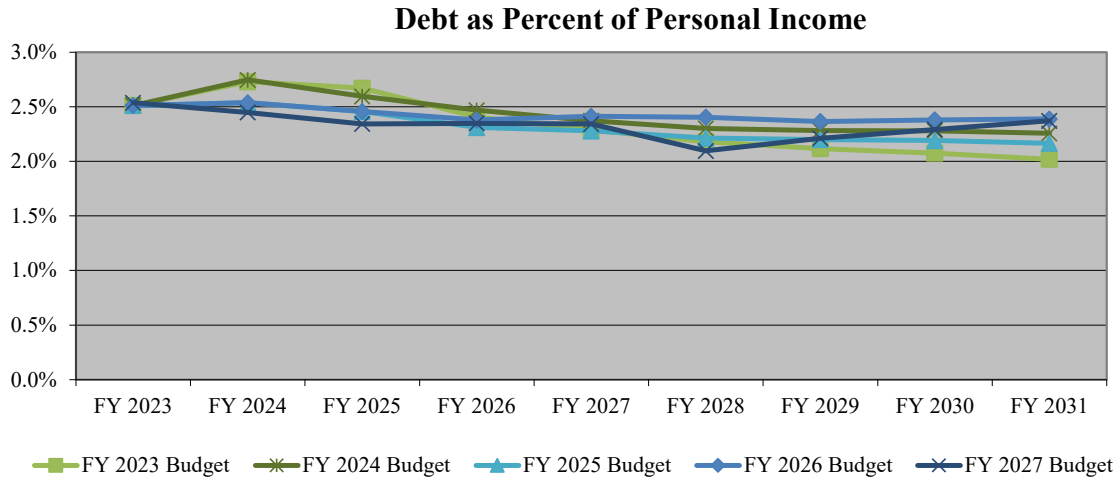
Net Tax Supported Debt Projections



Debt is often expressed as a percent of state personal income to compare across jurisdictions; state personal income is a rough measure of the state's wealth and, therefore, its potential ability to service its debt. Net tax-supported debt would decrease from 2.3 percent in FY 2025 to 2.1 percent in FY 2028, assuming that the capital budget is not increased.

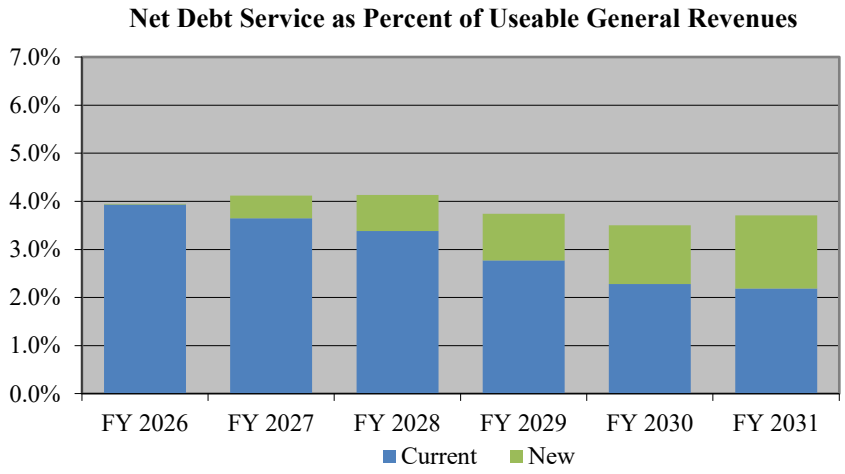
Debt ratios began increasing significantly in FY 1988, reaching a peak in FY 1994 of 8.4 percent of personal income as the Depositors Economic Protection Corporation and Convention Center debt was added. The current and prior administrations have identified reducing that ratio as a major capital policy goal.

However, as with debt levels, past practices indicate it is likely to be higher than projected. The following graph shows projected debt as a percent of personal income for FY 2023 through FY 2031 in the past five budgets. The FY 2023 budget projected FY 2028 debt at 2.1 percent of personal income, about 1 percentage point lower than projected in the FY 2027 budget. The projections assume that the debt levels do not increase in subsequent budgets.



Debt Service

Usable general revenues are estimated collections net of the transfers to the Budget Stabilization and Cash Reserve account. These transfers ultimately become Rhode Island Capital Plan funds and cannot be used for debt service. The term net tax-supported debt refers to all debt for which an appropriation is or may be required. That includes not only general obligation bonds and direct state issuance, but also debt issued by other entities for which the state is pledged to an annual lease payment or to make an appropriation in the event of a default. The ratio of net tax-supported debt to usable general revenues provides a snapshot of how the state is leveraging its debt relative to available resources to pay it off.



Debt service in the capital budget would decrease from 3.9 percent of usable general revenues in FY 2026 to 3.6 percent in FY 2030.

Public Finance Management Board

The 2016 Assembly enacted legislation requiring the Public Finance Management Board to oversee the undertaking of a debt affordability study at least once every two years, which shall include recommended limits for the debt capacity of state, municipal, and quasi-public corporations and districts having authority to issue revenue or general obligation bonds or notes, GARVEE bonds or other debt. The Board has the authority to offer non-binding, advisory opinions on all aspects of debt management practices of state, municipal, and public and quasi-public corporations.

On December 4, 2025, the Public Finance Management Board released the fifth Debt Affordability Study. Based on current levels, the state is within all recommended affordability limits, and the Board estimates that the state has available capacity to authorize up to $1,420.3 million of new bonds in 2026 with total debt capacity of $4.2 billion through the 2036 ballot. Voters approved $343.5 million on the 2024 ballot.

GO Debt Capacity	Debt Study December 2025
2026 Ballot	$ 1,420,255,000
2028 Ballot	445,675,000
2030 Ballot	649,920,000
2032 Ballot	707,280,000
2034 Ballot	653,790,000
2036 Ballot	332,485,000
Total	**$ 4,209,405,000**